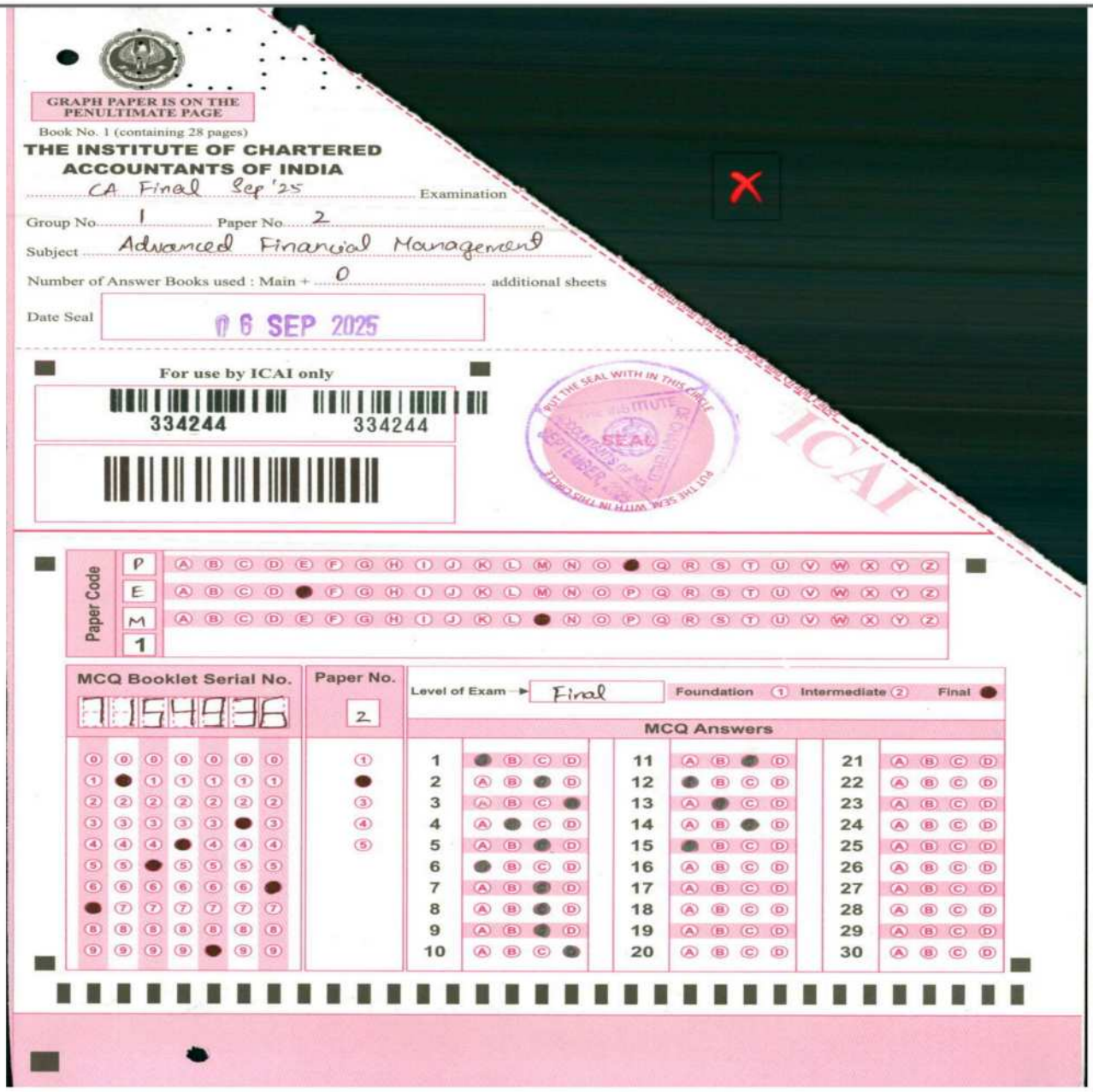
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Code:	**FN2AF334244**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**68**



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Sep '25 Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + 0 additional sheets

Date Seal 06 SEP 2025

For use by ICAI only

334244 334244

Paper Code: P E M 1

MCQ Booklet Serial No. 1154936

Paper No. 2

Level of Exam → Final Foundation (1) Intermediate (2) Final ●

MCQ Answers

1	B	11	D	21					
2	D	12	A	22					
3	C	13	B	23					
4	B	14	D	24					
5	C	15	A	25					
6	A	16		26					
7	C	17		27					
8	C	18		28					
9	C	19		29					
10	C	20		30					

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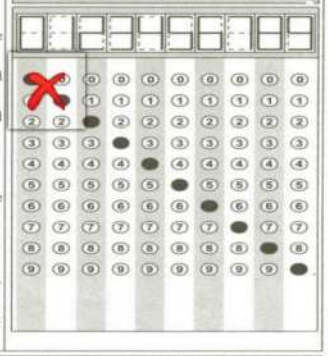
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Illustration for Filling the MCQ Booklet Serial No.



CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

. Pencil to Darken the appropriate Circle.
darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.
any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.
ase darken the complete circle.
3. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	✓	9	
3	✓	10	
4	✓	11	
5	✓	12	
6		13	
7		14	
Total		Total	

03

Q2) b) Final settlement of FRA (gain)

$$= \frac{N \times (\text{Reference rate} - \text{Agreed rate}) \times n/12}{(1 + \text{Reference rate} \times n/12)}$$

where, N = Notional Principal (₹ 80 crore)
n = No. of months (3 months)

i) Reference rate = 7.6% p.a.

Gain to BM & Co. (receivable from banker)

$$= \frac{80,00,00,000 \times (7.6\% - 7.3\%) \times 3/12}{(1 + 7.6\% \times 3/12)}$$

$$= \frac{6,00,000}{1.019}$$

$$= ₹ 5,88,812.56 \text{ (receivable from banker)}$$

ii) Reference rate = 6.8% p.a.

Loss to BM & Co. (payable to banker)

$$= \frac{80,00,00,000 \times (6.8\% - 7.3\%) \times 3/12}{(1 + 6.8\% \times 3/12)}$$

$$= \frac{-10,00,000}{1.017}$$

$$= -₹ 9,83,284.17 \text{ (pay to banker)}$$

2bStep1 4

2b 4

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04

a)

Particulars	Existing	Revised
Risk free rate (R_f)	10%	8%
Market risk premium ($R_m - R_f$)	6%	4%
Beta (β)	1.30	1.20
Growth rate (g)	4%	6%
Current dividend (D_0)	₹2.50	₹2.50
Cost of equity (K_e) = $R_f + \beta(R_m - R_f)$	10% + 1.30 × 6% = 17.8%	8% + 1.20 × 4 = 12.8%
Expected market price (P_0) = $\frac{D_0(1+g)}{K_e - g}$	$\frac{2.50(1+0.04)}{0.178 - 0.04}$ = ₹18.84	$\frac{2.50(1+0.06)}{0.128 - 0.06}$ = ₹38.97

2aStep1 4

In both the above scenarios i.e. existing and revised, the expected market price or intrinsic value of the shares is less than ₹45 (current market price). Therefore, Mr. X should sell the shares irrespective of change in the factors.

2aStep2 2

2a 6

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05

c) The following are the key points that make an organization financially sustainable :-

→ To have adequate financial systems in place. ✓

→ To have financial autonomy to be able to make financial decisions. ✓

→ To do strategic, action and financial planning regularly. ✓

→ To have more than one source of income. ✓

→ To have more than one way of generating revenue.

→ To be clear about its strategic direction, values and beliefs.

2cStep1 ✓ 4

→ To have a good and reputable corporate image.

2 ✓ 14

2c ✓ 4

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06

Q4) a) Market return (R_m) = 0.6
Variance of market return (σ_m^2) = 2.10

i)

Particulars	TC Ltd.	PC Ltd.
Total variance (σ_i^2)	5.8	4.8
Standard deviation (σ)	2.408	2.191
β	0.8	0.7
Weightage (W_i)	50%	50%
Systematic variance $\beta^2\sigma_m^2$	$0.8^2 \times 2.10$ = 1.344	$0.7^2 \times 2.10$ = 1.029
Unsystematic variance (e_i^2) = $\sigma_i^2 - \beta^2\sigma_m^2$	5.8 - 1.344 = 4.456	4.8 - 1.029 = 3.771

4aStep1 2

ii) Beta of portfolio (β_p) = $\Sigma W_i \beta_i$ = (0.5 × 0.8) + (0.5 × 0.7) = 0.75

Systematic risk / variance of portfolio = $\beta_p^2 \sigma_m^2$ = $0.75^2 \times 2.10$ = 1.181

Unsystematic risk / variance of portfolio = $\Sigma W_i^2 e_i^2$ = $0.5^2 \times 4.456 + 0.5^2 \times 3.771$ = 2.057

Total variance of portfolio (σ_p^2) 3.238
Standard deviation of portfolio (σ_p) (Portfolio risk) 1.80

4aStep2 2

Portfolio return (R_p) = $\Sigma W_i R_i$ = 0.5 × 0.12 + 0.5 × 0.18 = 0.15

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07

(iii) New allocation (Wi) = TC Limited : PC Limited = 0.6 : 0.4

Portfolio return (R_P) = $\Sigma W_i R_i$ = $0.6 \times 0.12 + 0.4 \times 0.18$
= 0.144

~~Systematic risk of port~~
Portfolio Beta (β_P) = $0.6 \times 0.8 + 0.4 \times 0.7 = 0.76$

Systematic variance = $\beta_P^2 \sigma_m^2 = 0.76^2 \times 2.10$ = 1.213
Unsystematic variance = $\Sigma W_i^2 \sigma_i^2$ ~~$= 0.6^2 \times 4.456 +$~~
$= 0.6^2 \times 4.456 + 0.4^2 \times 3.771$ = 2.208
σ_P^2 3.421
σ_P 1.850

Summary:	Existing	Revised
R_P	0.15	0.144
σ_P	1.80	1.850

4aStep3 2

The return of the portfolio is decreasing and also the risk (σ_P) is increasing, both of which are adverse changes.
Therefore, the reallocation of funds is not preferable.

4a 6

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08

b) Mr. SK's position in the cash market:

Stock	No. of shares	Price per share	Value	Beta (β_i)
P Ltd.	5,000 [Long]	50	5000 × 50 = 2,50,000	1.5
Q Ltd.	(2,500) [Short]	80	(2500) × 80 = (2,00,000)	2
			50,000	

~~No of contracts to be traded~~

Portfolio Beta (β) = $\Sigma W_i \beta_i$ = $\frac{250000 \times 1.5 - 200000 \times 2}{50,000}$

= − 0.5

No. of contracts to be traded for hedging

= $\frac{\text{Portfolio value (Desired } \beta - \text{Current } \beta)}{\text{Value of 1 contract}}$

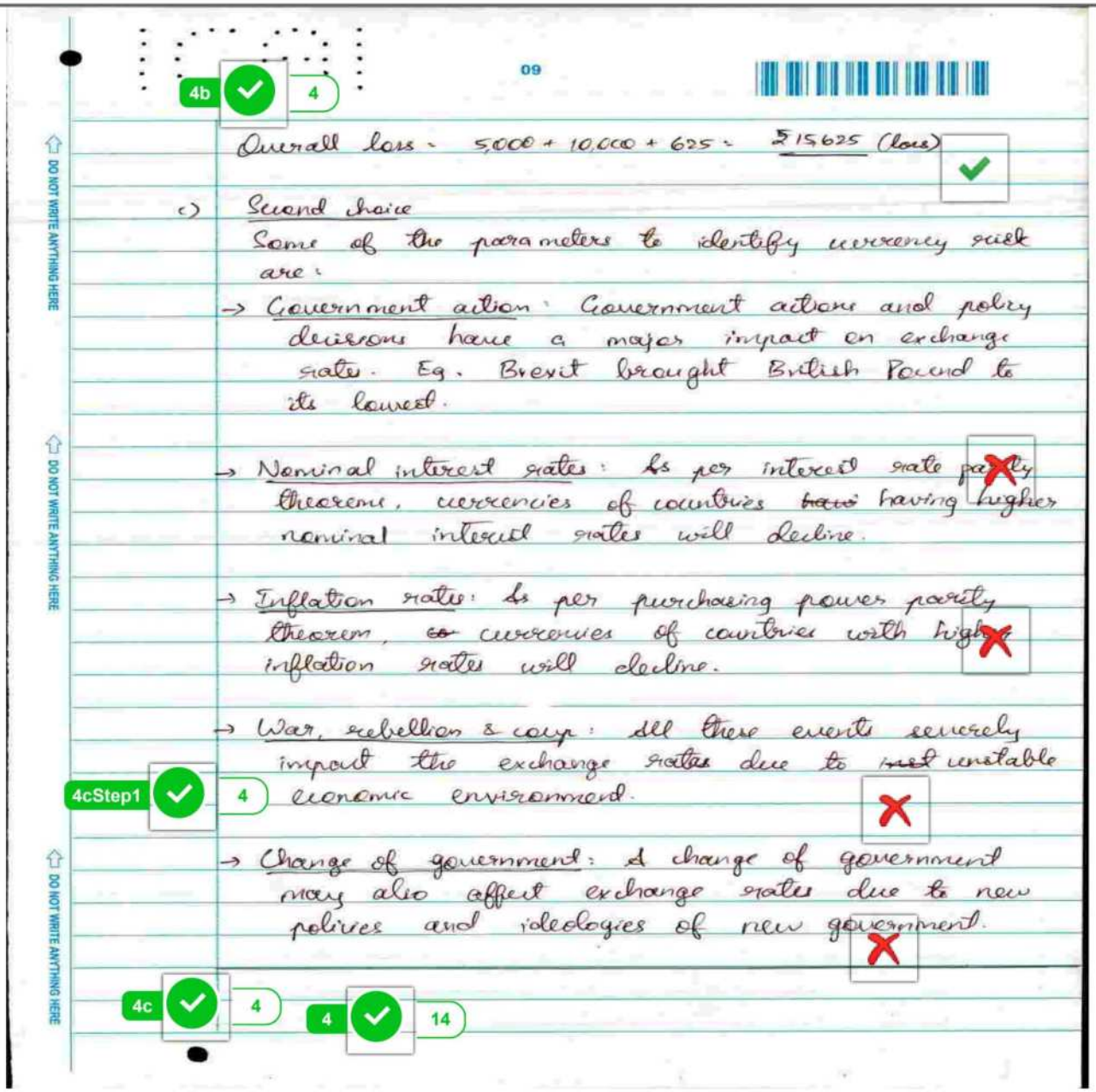
= $\frac{50,000\ (0 - (-0.5))}{1,000}$ = + 25 contracts (long)

4bStep1 ✓ 4

Overall profit / loss:

	₹
Loss on P Ltd. = 2,50,000 × 2%	(5,000)
[He makes a loss since value of long position decreases]	
Loss on Q Ltd. = 2,00,000 × 5%	(10,000)
[Loss since value of short position appreciated]	
Loss on Nifty futures = 25 × 1,000 × 2.5%	(625)
[Loss since value of long position declined]	

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09

4b ✓ 4

Overall loss = 5,000 + 10,000 + 625 = ₹15,625 (loss) ✓

c) Second choice

Some of the parameters to identify currency risk are :

→ Government action : Government actions and policy decisions have a major impact on exchange rates. Eg. Brexit brought British Pound to its lowest.

→ Nominal interest rates : As per interest rate parity theorem, currencies of countries ~~have~~ having higher nominal interest rates will decline. ✗

→ Inflation rates : As per purchasing power parity theorem, ~~as~~ currencies of countries with high inflation rates will decline. ✗

→ War, rebellion & coup : All these events severely impact the exchange rates due to ~~not~~ unstable economic environment. 4cStep1 ✓ 4 ✗

→ Change of government : A change of government may also affect exchange rates due to new polices and ideologies of new government. ✗

4c ✓ 4 4 ✓ 14

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10

Q3) a) Post tax cost of debt (new) (K_d) = 10% (1 - 0.2) = 8%

Particulars	₹ (lakhs)
Present value (PV) of coupon savings = 600 lakhs × (12% - 10%) × 4.00 (PVAF (8%, 5 years)) × (1 - 0.2) (tax saving) =	38.4
Issue cost of new debentures	(10)
PV on tax savings of new issue cost = 10 lakh × 1/5 × 20% × 4.00 (PVAF (8%, 5 yr)) =	1.6
Premium on redemption of 12% Debentures (net of tax) = 600 lakh × 5% × (1 - 0.2) (tax saving) =	(24)
Net benefit on redemption	6.00

∵ The net benefit is positive, the company should redeem the existing debentures and issue new debentures @ lower interest rate of 10% p.a.

Note: Discount rate used is 8% i.e. post tax K_d. Tax savings on issue cost of new 10% debentures will arise over the tenure of the ~~to~~ bonds whereas there will be immediate tax savings on premium paid for redemption of old 12% debentures.

3aStep1 ✓ 2 | 3aStep2 ✓ 3 | 3aStep3 ✓ 1 | 3a ✓ 6

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11

b) No. of units held = 1,000
Opening NAV (P_0) = ₹17.50
Closing NAV (P_1) = ₹18.90

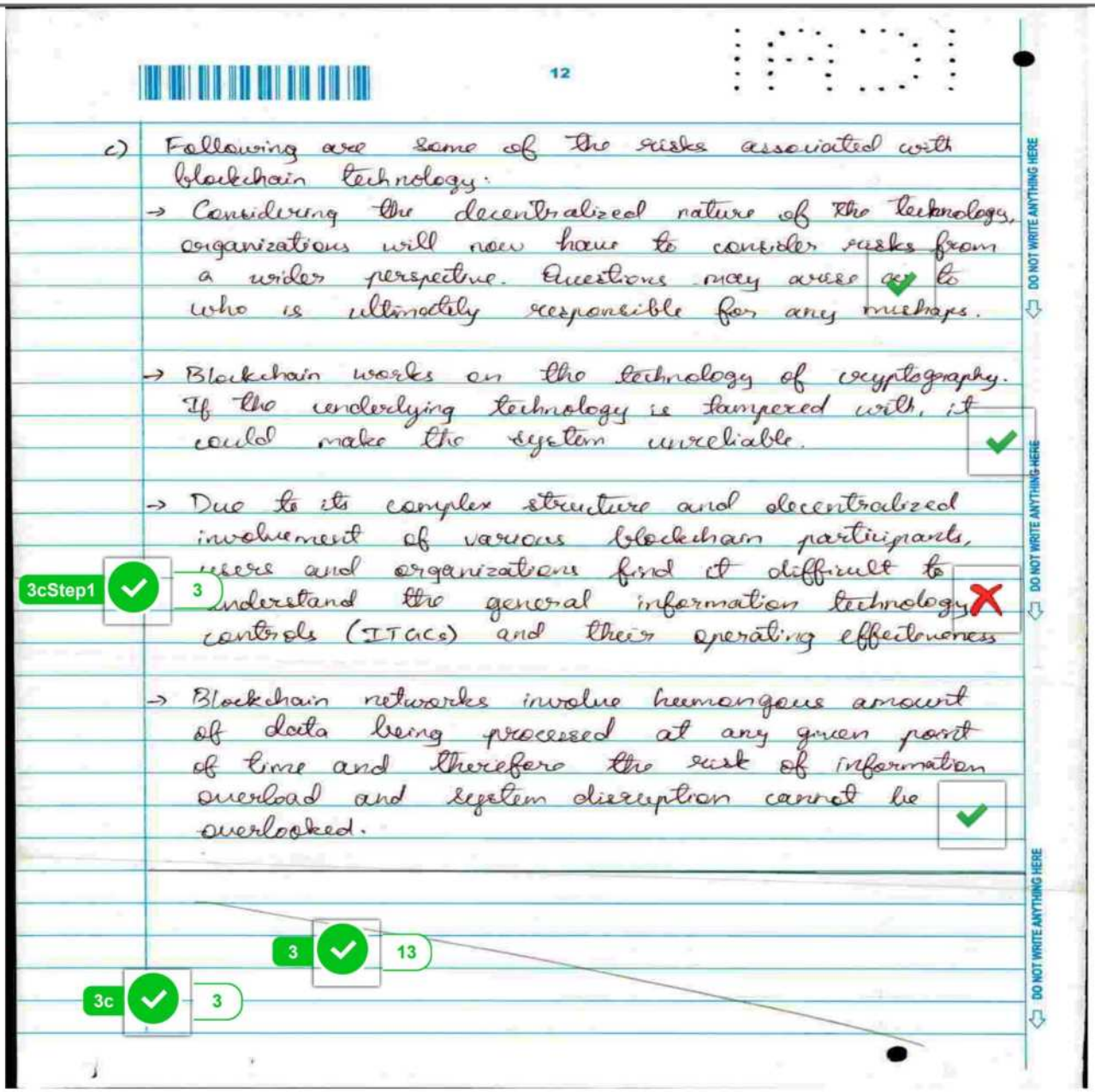
~~Option~~ Particulars	Option I	Option II
Dividend paid out	1.50 × 1,000 = ₹1,500	-
Capital gains paid out	1.20 × 1,000 = ₹1,200	-
Total income paid out (D_1)	₹2,700	-
Opening no. of units	1,000	1,000
(+) Units received on reinvestment	-	2,700 / 17.30 = 156.07
Closing no. of units	1,000	1,156.07
× Closing NAV	18.90	18.90
Total investment value	18,900	21,849.72
(-) Opening value (O_p)	1,000 × 17.5 = (17,500)	1,000 × 17.5 = (17,500)
Capital appreciation	1,400	4,349.72
(+) D_1	2,700	-
Total return (R)	4,100	4,349.72
~~Holding Return~~ period return % (R/O_p)	23.43%	24.86%

3bStep1 ✓ 4

∴ Option II is preferable since it gives a higher return.

3b ✓ 4

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12

c) Following are some of the risks associated with blockchain technology:

→ Considering the decentralized nature of the technology, organizations will now have to consider risks from a wider perspective. Questions may arise as to who is ultimately responsible for any mishaps.

→ Blockchain works on the technology of cryptography. If the underlying technology is tampered with, it could make the system unreliable.

→ Due to its complex structure and decentralized involvement of various blockchain participants, users and organizations find it difficult to understand the general information technology controls (ITGCs) and their operating effectiveness

→ Blockchain networks involve humongous amount of data being processed at any given point of time and therefore the risk of information overload and system disruption cannot be overlooked.

3cStep1 3

3 13

3c 3

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13

Q1) a)i) Risk ~~for~~ free rate (R_f) = 7%
Market rate of return (R_m) = 16%
Beta (β) = 0.8
Cost of equity (K_e) = $R_f + \beta(R_m - R_f)$ = 7% + 0.8 (16% − 7%)
= 14.2%

ii) Computation of EPS:

	₹
Gross profit (GP)	12,00,000
(−) Indirect expenses	(5,00,000)
EBITDA	7,00,000
(−) Depreciation	(30,000)
Earnings before interest & tax (EBIT)	6,70,000
(−) Interest (2,00,000 × 10%)	(20,000)
Earnings before tax (EBT)	6,50,000
(−) Tax @ 20% of 6,50,000	(1,30,000)
Profit after tax (PAT)	5,20,000
÷ No. of equity shares	1,50,000
EPS	₹3.47

1aStep1 ✓ 3

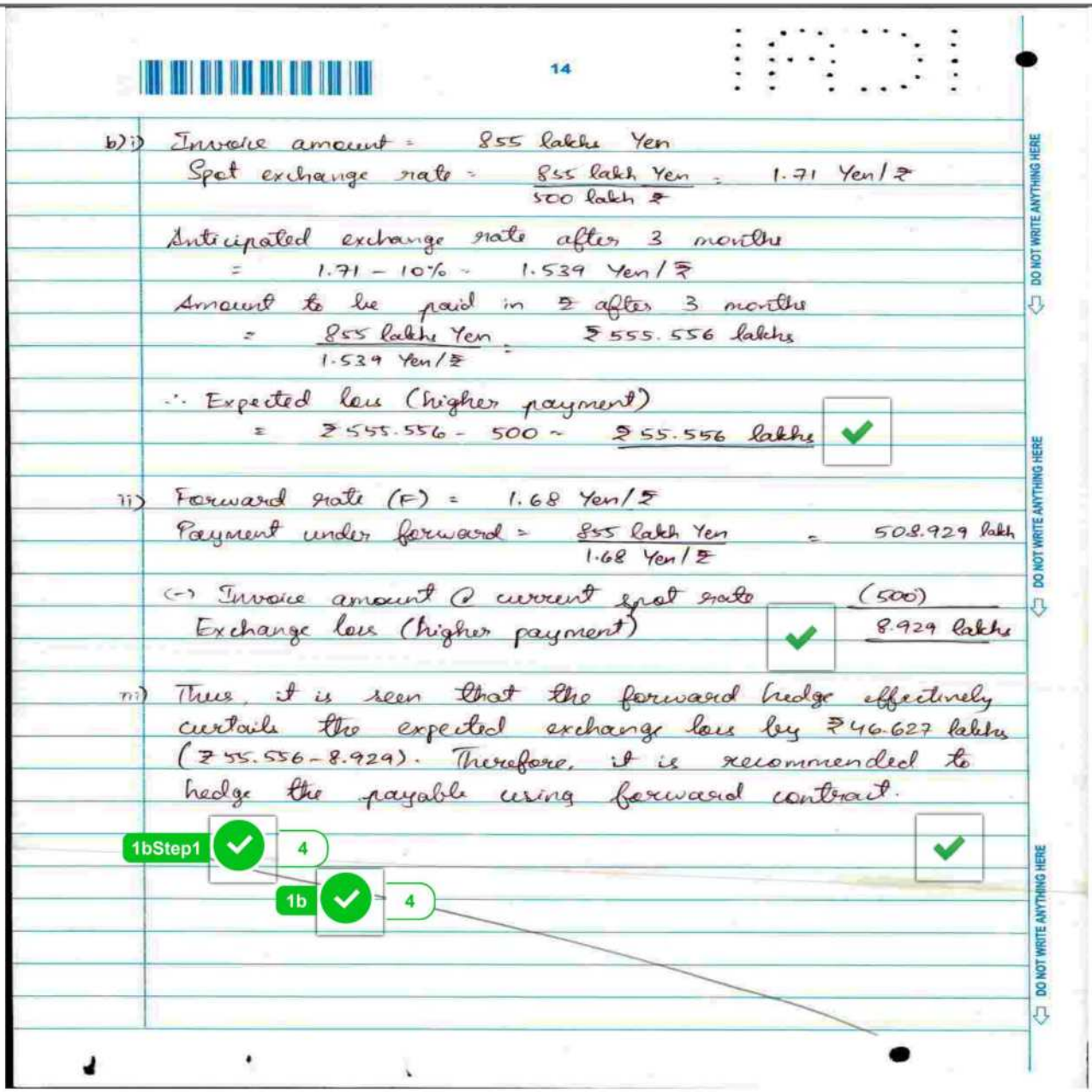
iii) Equity value = 4 × EBITDA = 4 × 7,00,000 = ₹28,00,000

iv) Enterprise value (EV):

	₹
Market value of equity = 1,50,000 × ₹12/share	18,00,000
(+) 10% Debts	2,00,000
(−) Cash & cash equivalents	(5,00,000)
EV	15,00,000

1aStep2 ✓ 2

1a ✓ 5



14

b) i) Invoice amount = 855 lakhs Yen

Spot exchange rate = $\frac{855 \text{ lakh Yen}}{500 \text{ lakh } ₹}$ = 1.71 Yen/₹

Anticipated exchange rate after 3 months

= 1.71 − 10% = 1.539 Yen/₹

Amount to be paid in ₹ after 3 months

= $\frac{855 \text{ lakhs Yen}}{1.539 \text{ Yen}/₹}$ = ₹555.556 lakhs

∴ Expected loss (higher payment)

= ₹555.556 − 500 = ₹55.556 lakhs ✓

ii) Forward rate (F) = 1.68 Yen/₹

Payment under forward = $\frac{855 \text{ lakh Yen}}{1.68 \text{ Yen}/₹}$ = 508.929 lakh

(−) Invoice amount @ current spot rate (500)

Exchange loss (higher payment) ✓ 8.929 lakhs

iii) Thus, it is seen that the forward hedge effectively curtails the expected exchange loss by ₹46.627 lakhs (₹55.556 − 8.929). Therefore, it is recommended to hedge the payable using forward contract. ✓

1bStep1 ✓ 4

1b ✓ 4

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15

c) Following are the steps involved in Business Succession strategy:

→ Identify key positions in the organisation : To start off, key positions in the organisation making critical decisions and which are indispensable for the conduct of overall business shall be identified.

→ Map competencies to key positions : The next step is to ascertain the competencies, qualifications, qualities, technical ~~skills~~ knowledge and capability required by the individual to hold the key position.

→ Assess current competencies of workforce : Competence of existing employees and key managerial personnel should be assessed to find suitable replacement for the current key position holder. Internal hiring is usually way more effective and easier since the individuals will already be familiar with the organizations's business, values, strategies and operations.

1cStep1 4

→ Bridge leader : A bridge leader may be appointed to prepare the young family leaders to eventually take over key positions.

1 13

1c 4

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16

Q5) a) Forward exchange rates:

Spot rate = NC 1.60 / ₹

Using Inflation rates: Nepal (I_N) = 8%

India (I_I) = 6%

Forward rate as per purchasing power parity theorem = $\text{Spot} \times \left[\frac{I_N + ₹1}{I_I + 1}\right]^n$ [n = No. of years]

Year 1: $1.60 \times \left[\frac{1.08}{1.06}\right]^1 = 1.630$ NC/₹

Year 2: $1.60 \times \left[\frac{1.08}{1.06}\right]^2 = 1.661$ NC/₹

Year 3: $1.60 \times \left[\frac{1.08}{1.06}\right]^3 = 1.692$ NC/₹

Computation of NPV: (Millions)

Particulars	Year 0	Year 1	Year 2	Year 3
Nepal cashflow	(75)	7.8	11.4	12.3
÷ Exchange rates	1.6	1.630	1.661	1.692
	(46.875)	4.785	6.863	7.270
(+) Indian cashflow	-	8.607	12.6	13.8
Net cashflows (₹)	(46.875)	13.392	19.463	21.070
× PVF	1	0.926	0.857	0.794
PV of cashflows	(46.875)	12.401	16.680	16.730

NPV = Σ PV of cashflows = − 1.064 million

Since the NPV is negative, the proposal should not be taken up.

5aStep1 ✓ 3

5aStep2 ✓ 3

5aStep3 ✓ 1

5a ✓ 7

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17

b) i) Let the number of units purchased be 'x'.

Total capital gain & dividend reinvested
= ₹5.00 × x unit = 5x

Closing number of units = $x + \frac{5x}{25}$

⇒ 15,000 = x + 0.2x

⇒ x = 12,500 units

ii) Given that NAV has appreciated by 13.60% during the year,

Opening NAV = $\frac{₹25}{113.60\%}$ = ₹22.01 / unit

(+) Entry load ₹0.05 / unit

₹22.06 / unit

× No. of units purchased 12,500

5bStep1 3 Total investment amount ₹2,75,750

iii) Return computation

	₹
Gross sale proceeds = 15,000 units × ₹25/unit	3,75,000
(−) Exit load @ 1% of 3,75,000	(3,750)
Net sale proceeds	3,71,250
(−) Capital gains tax @ 20% [(3,71,250 − 2,75,750) × 20%]	(19,100)
Net sale proceeds (net of tax)	3,52,150
(−) Investment amount	(2,75,750)
Return in ₹	76,400

Return % = $\frac{76,400}{2,75,750}$ = 27.71%

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Note: It is assumed that:
i) Exit is made within a year and hence exit load is charged.
ii) Exit load ~~is tax deductible~~ & entry load are tax deductible.

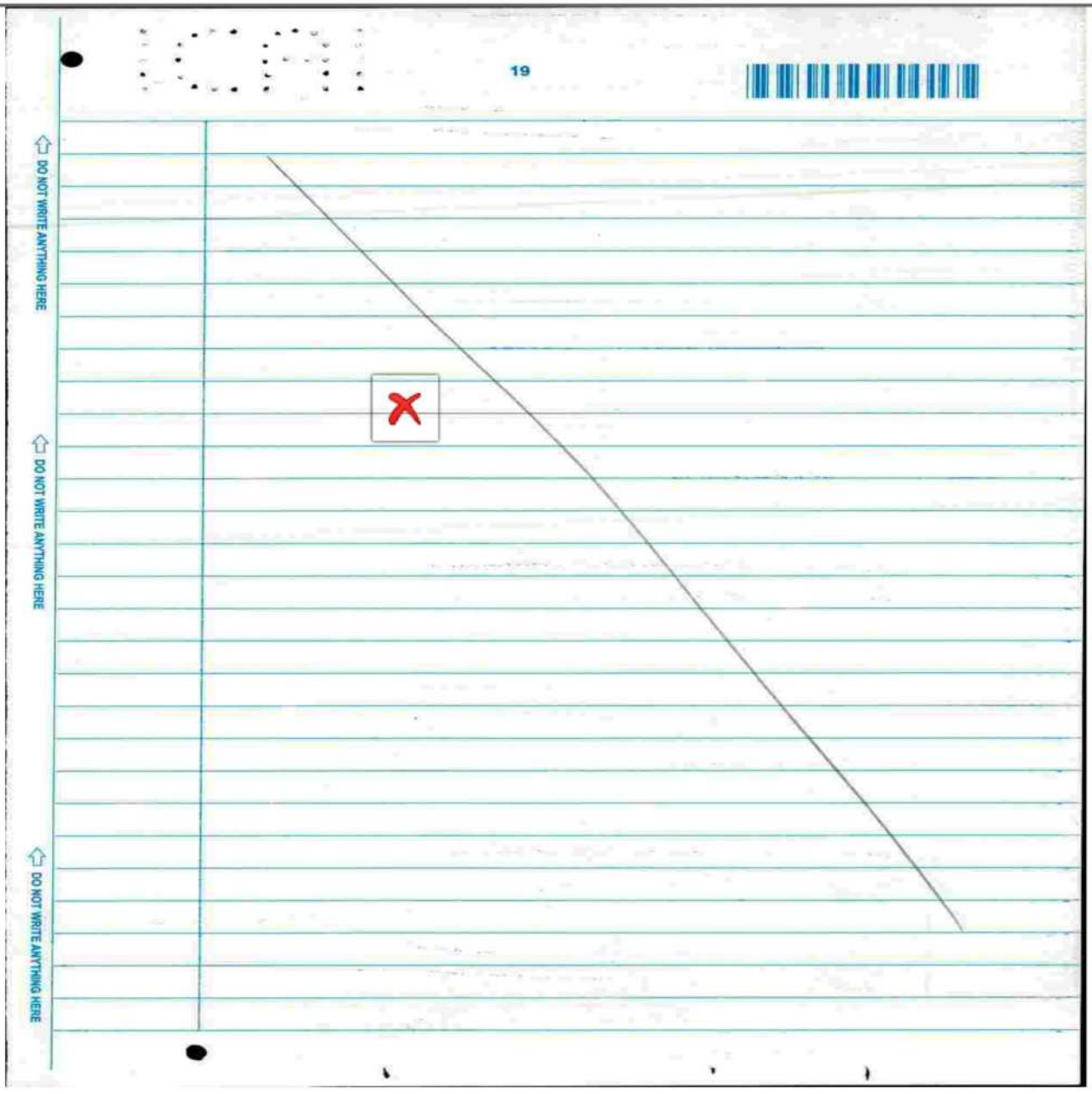
5bStep2 4

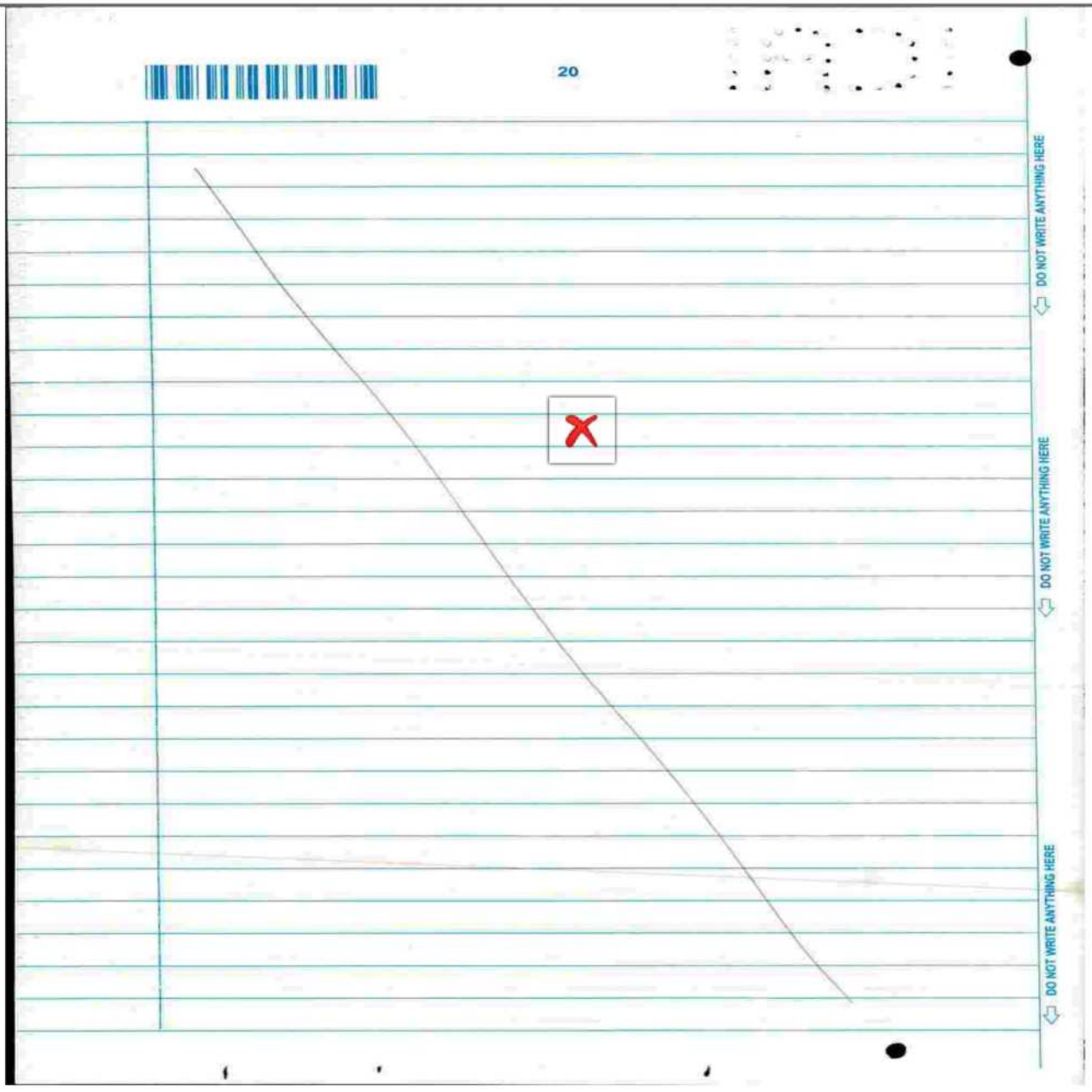
Real return
(1+ Nominal rate) = (1+ Real rate)(1 + Inflation rate)
⇒ (1 + 0.2771) = (1+ Real rate) (1 + 0.045)
⇒ 1 + Real rate = 1.2221
⇒ Real rate = 22.21 %

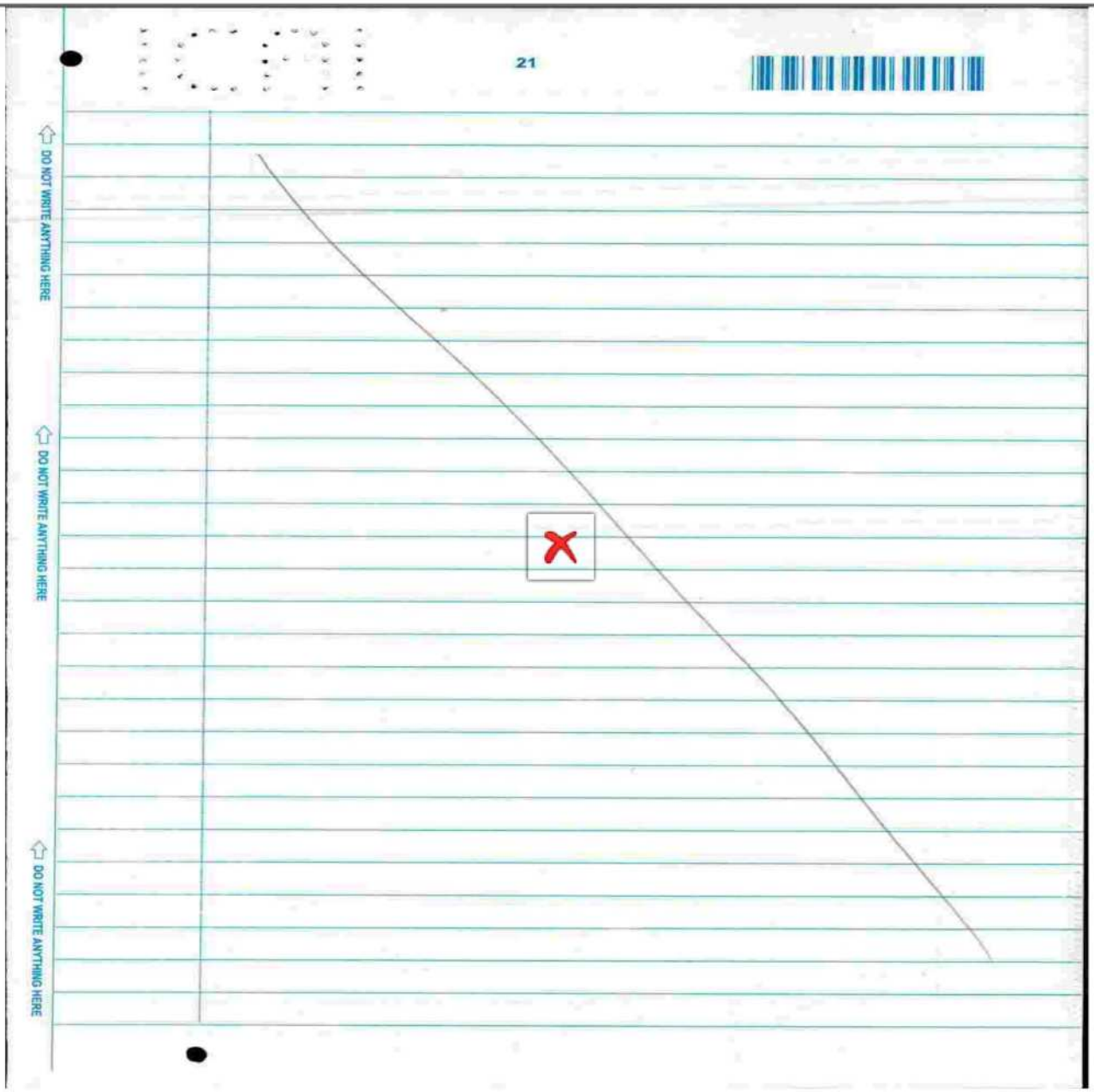
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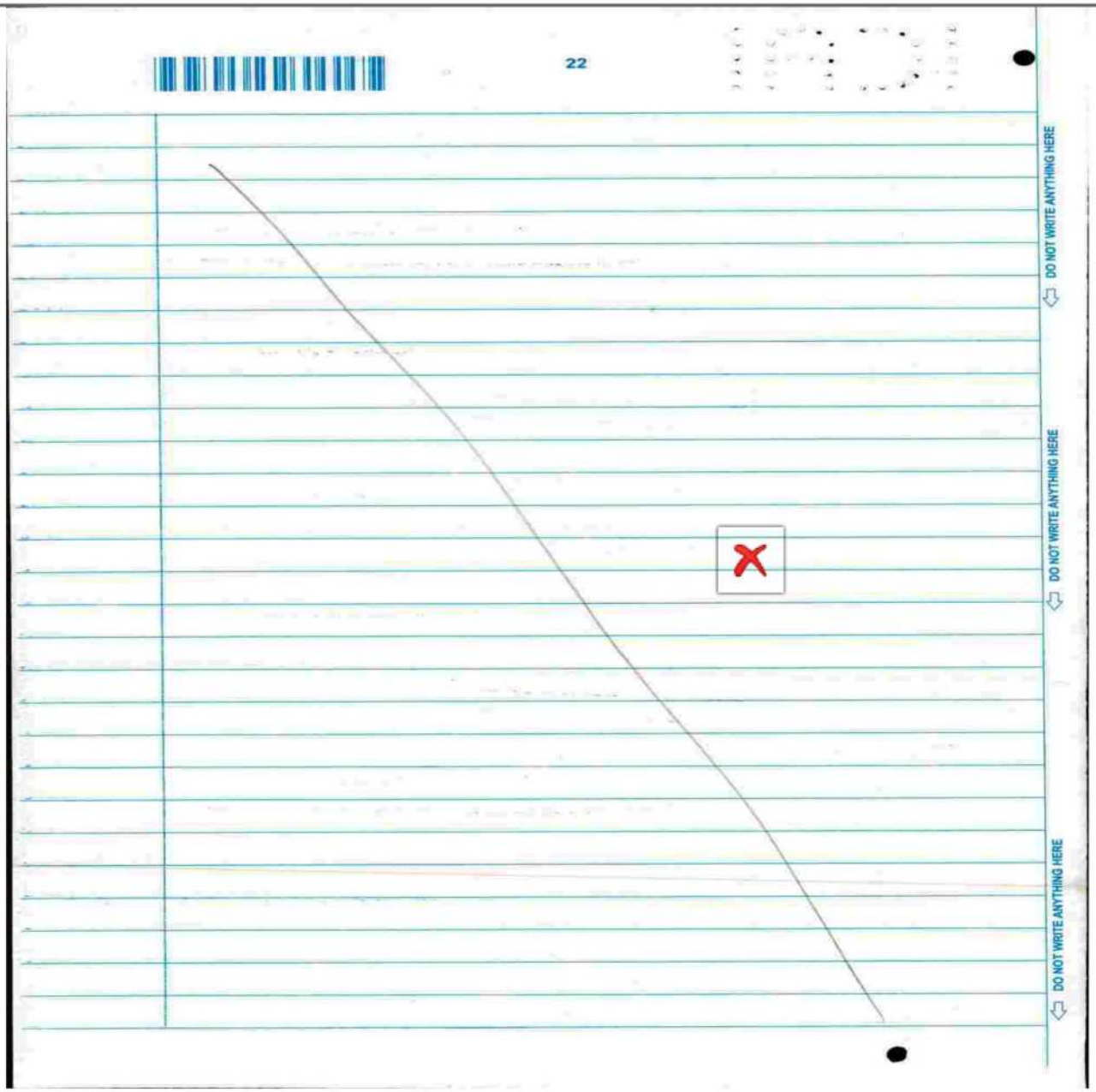

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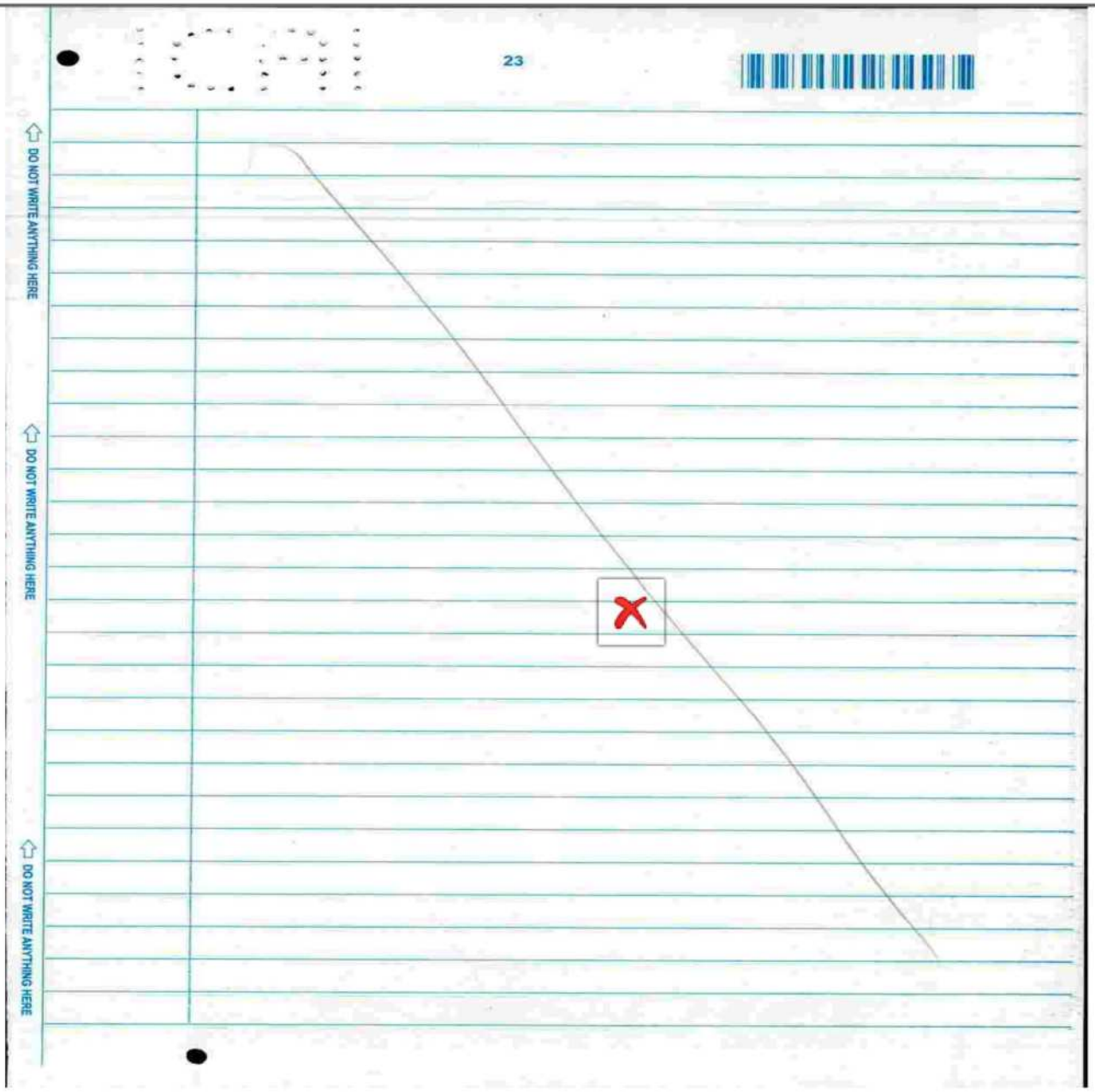
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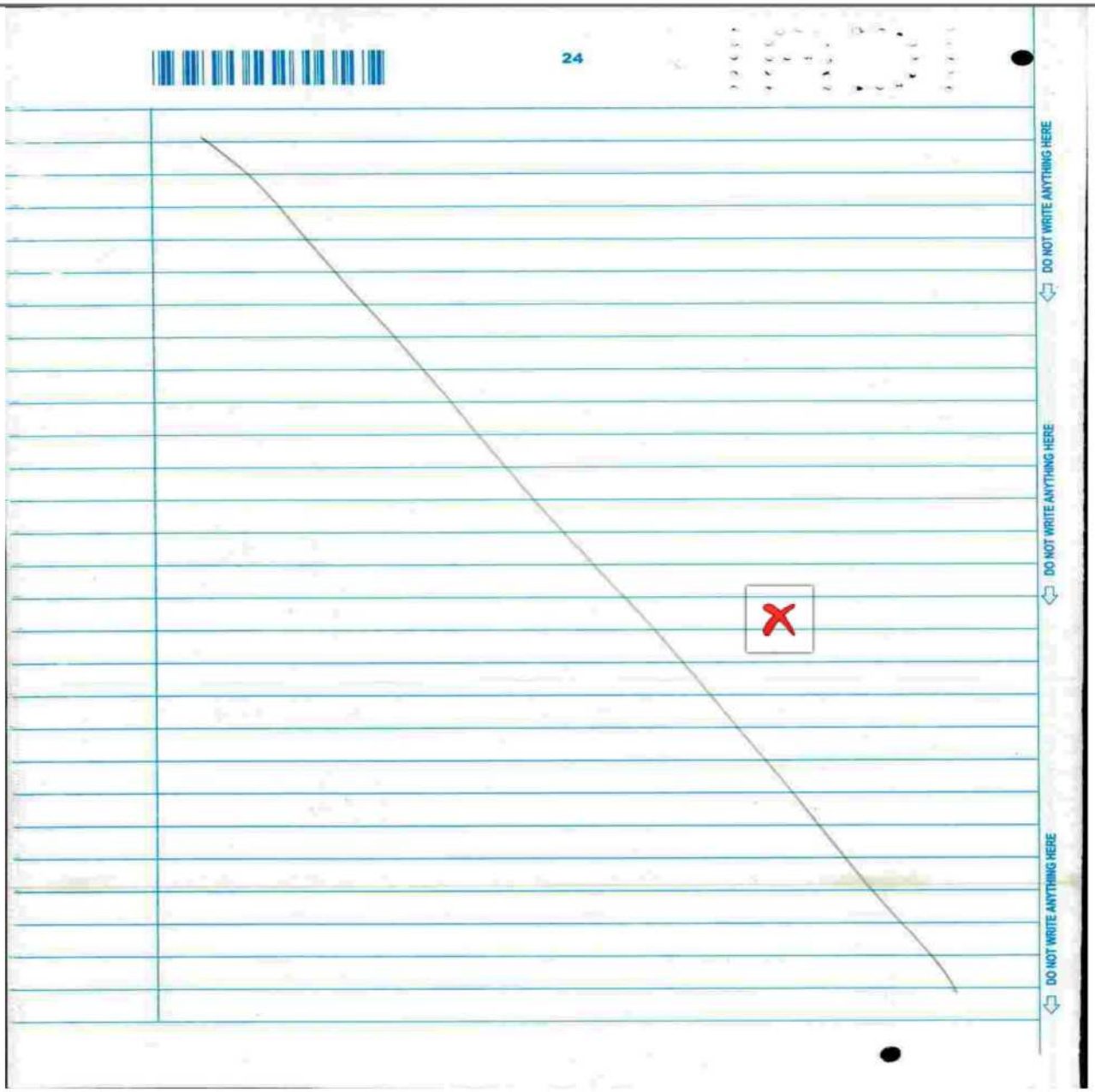
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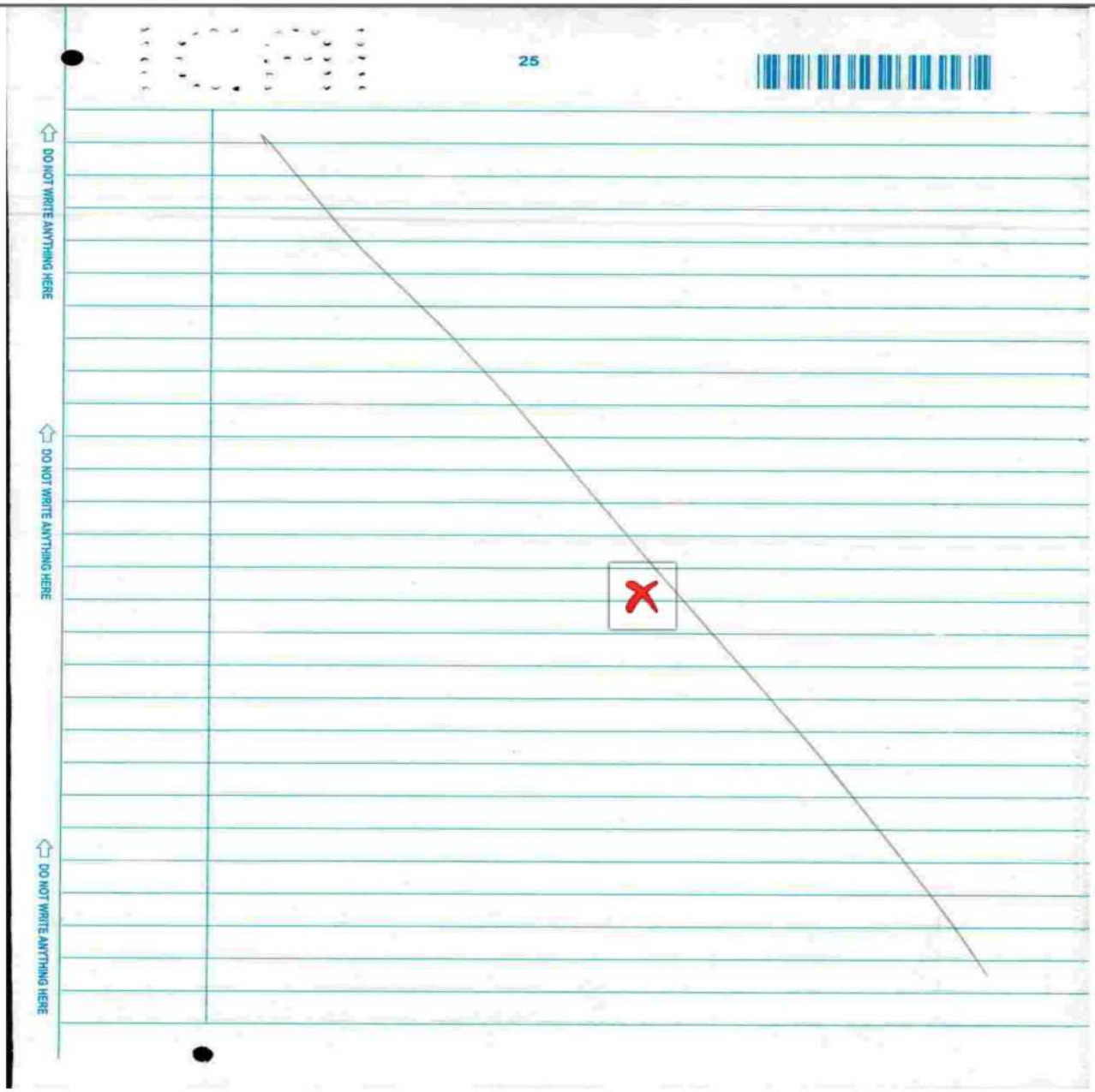


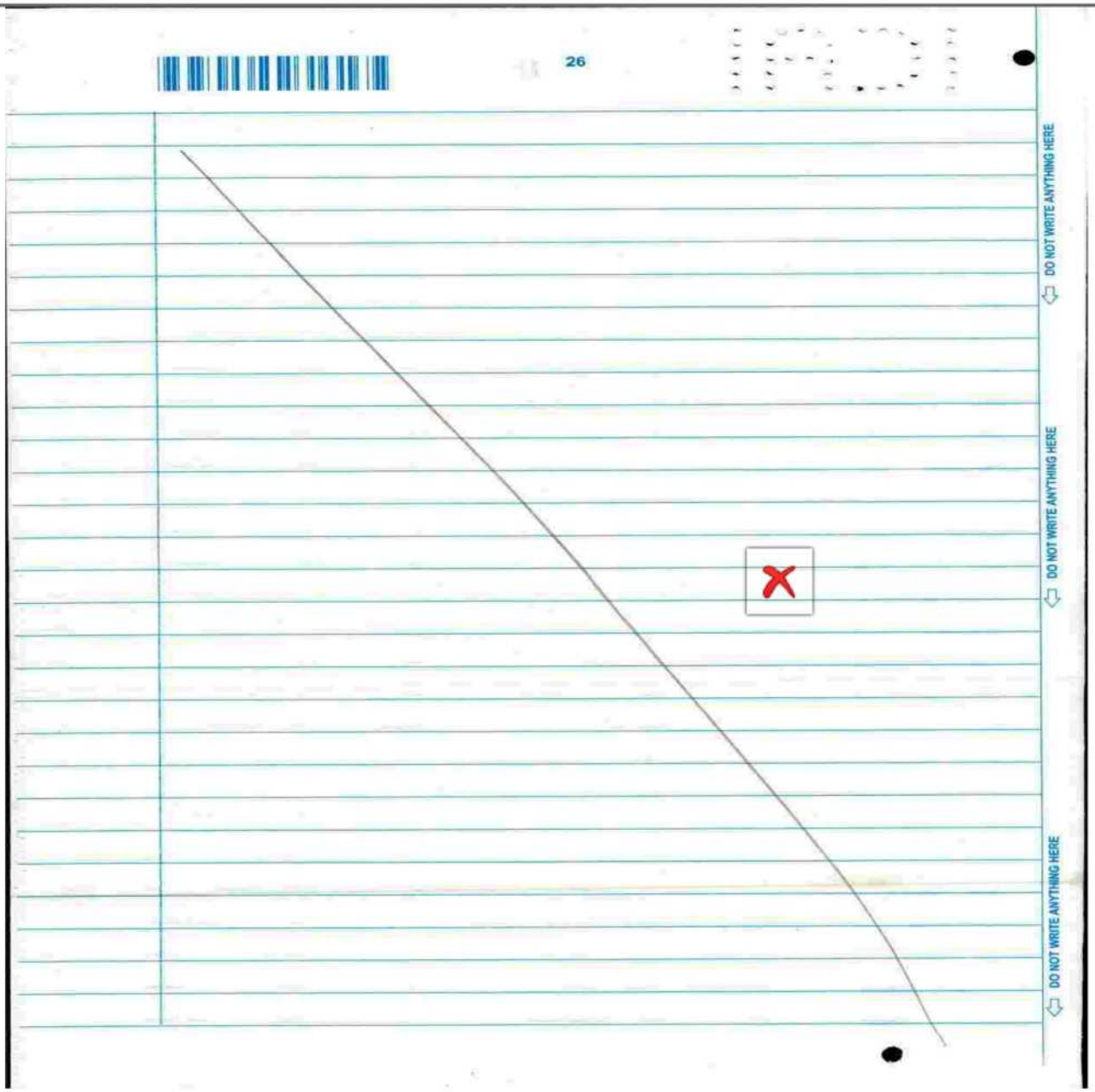
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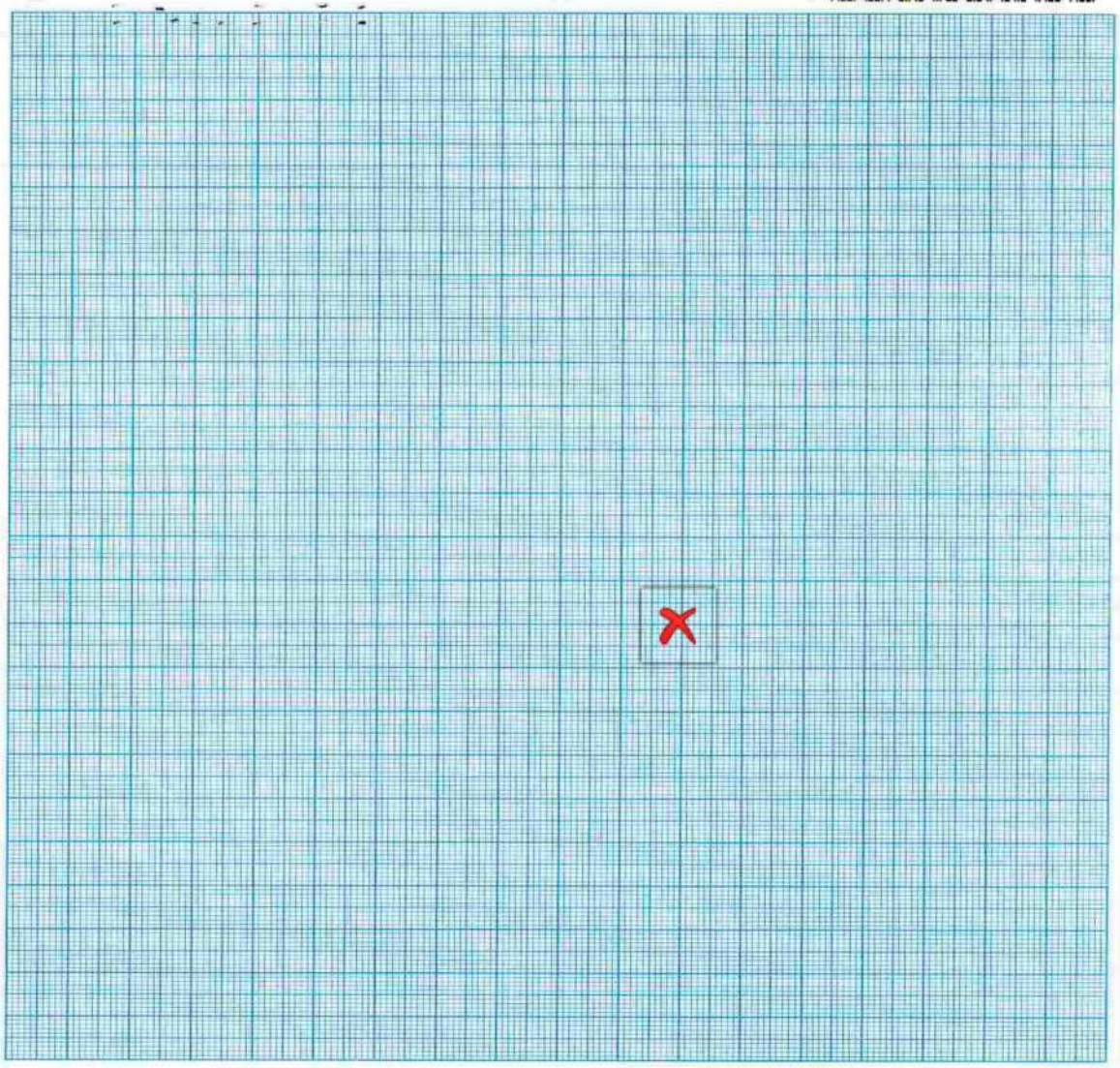
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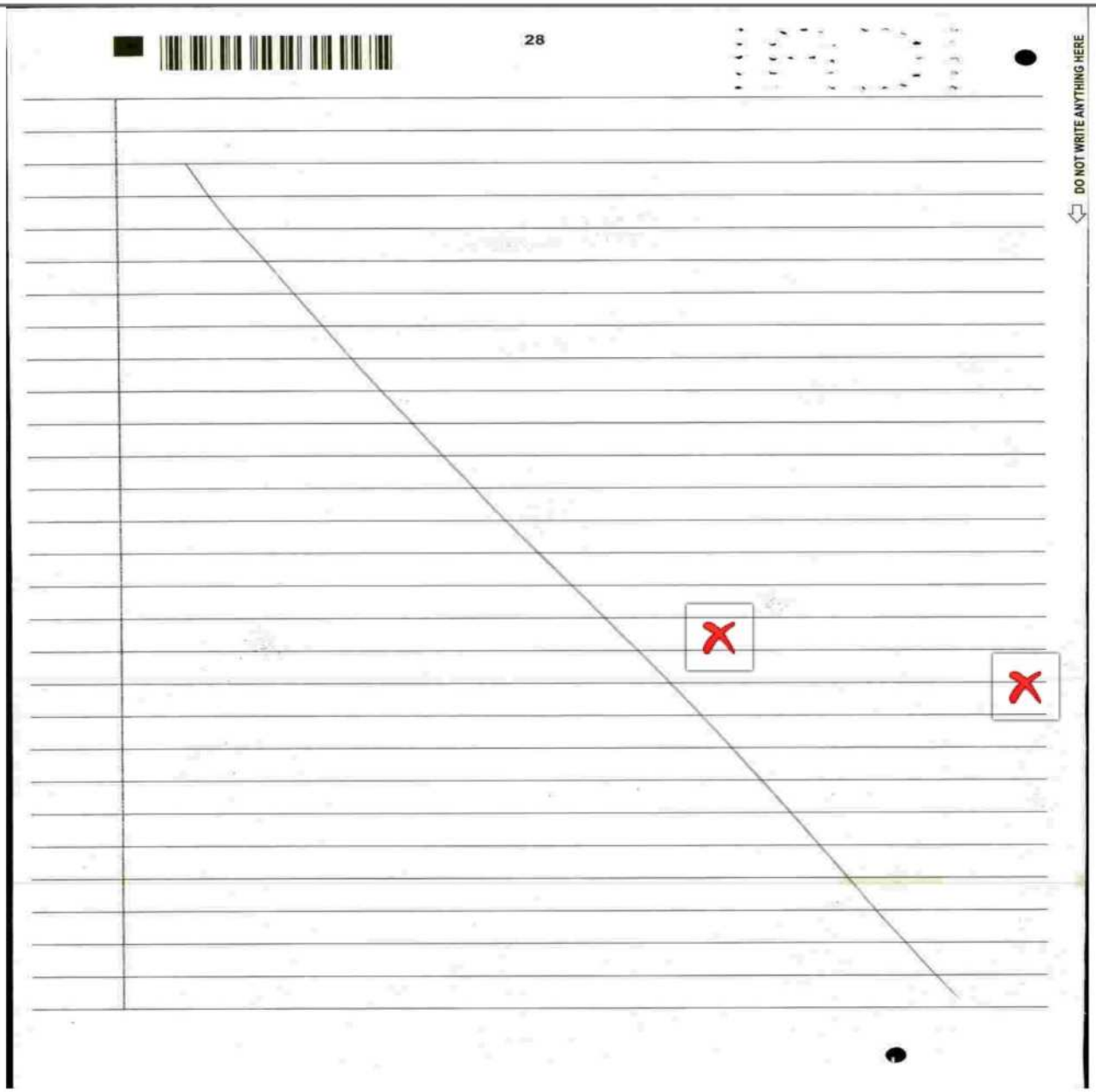



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The Institute of Chartered Accountants of India

Code: FN2AF334244 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 68

Result Overview

Awarded Marks: 68 Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 13/14)

Question No	Awarded Marks	Maximum Marks	Status
1	13	14	M
1a	5	6	M
1b	4	4	M
1c	4	4	M

Q2_Q6 (Score: 55/56)

Question No	Awarded Marks	Maximum Marks	Status
2	14	14	M
2a	6	6	M
2b	4	4	M
2c	4	4	M
3	13	14	M
3a	6	6	M
3b	4	4	M
3c	3	4	M
4	14	14	M
4a	6	6	M
4b	4	4	M
4c	4	4	M
5	14	14	M
5a	7	7	M
5b	7	7	M
6	0	14	O
6a	0	7	O
6b	0	7	O